Is the outlook originally sketched out in 1978, expanded in the summary quoted above and detailed throughout this book, too extreme? *The Elliott Wave Theorist* addressed even this question in 1983, with the Dow at 1200:

> In writing a book about how to apply Elliott's Wave Principle, it was virtually impossible to avoid making a forecast, since a wave interpretation of the past almost always implies something about the future. At that time, the evidence was overwhelming that the stock market was at the dawn of a tremendous bull market. Even at that stage, the Wave Principle revealed some of the details of what the bull might look like. While our Dow 3000 figure was met with some derision at the time and a good deal of skepticism even today, Elliott Wave based forecasts (even competent ones) can often appear extreme. The reason is that the Wave Principle is one of the few tools that can help an analyst anticipate *changes* in trends, *including trends that are so long term that they have become accepted as the normal state of affairs.*

Today, the long uptrend has convinced people that this nearly unprecedented situation in terms of market behavior is a normal state of affairs. (It is just a different normal state from the last one!) The only kind of analysis that can recognize the typical but rare conditions of a *major turning point in a long term trend* says that those conditions are swiftly falling into place. Thus, though the outlook in this book is extreme, it is justified.

Regardless of all our data, analysis and conclusions, however, it is improbable that every forecast detailed in this book will work out. The science of social forecasting is virtually brand new, and its application relies on severely limited data and research. Nevertheless, it is not particularly difficult to be fearless when one considers the low level of general expectations with regard to such an endeavor. To be sure, most forecasters' expectations do not work out at all. For instance, in June 1990, 88% of economists predicted continued economic expansion for at least a year. A month later, the worst recession in a decade began. As merely the latest example, a June 1994 survey of 29 of the country's most influential money managers showed that *all* of them expected the long bond yield to remain below 8% during the rest of last year. It was above 8% three months later. Evidence of the failure of conventional forecasting methods is more than anecdotal. According to *The Wall Street Journal*, a study